

SOP_04_account_closure_retention

MERIDIAN TRUST BANK

STANDARD OPERATING PROCEDURE — ACCOUNT CLOSURE & RETENTION

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Owns Rules	BNK-FIN-RULE-001..003, BNK-CC-RULE-012, BNK-CC-RULE-023

1. Purpose

Standardize the handling of customer-initiated account closures so that retention is attempted appropriately, closures are processed cleanly (including dormant balance disposition), and the customer's regulatory rights (right to close, no penalty for closing within disclosed terms) are protected.

2. Pre-Conditions

- 3-of-5 identity verification complete (BNK-CC-RULE-004).
- Account has no holds, no liens, no open Reg E disputes blocking closure.
- Account has no active loans pledged against it (those must be paid off or transferred before deposit-account closure).

3. Procedure

Step 1 — Acknowledge & Discover (BNK-CC-RULE-012 A.C.E.S.)

- **Acknowledge:** “I understand you’re calling to close your account. I’ll help you with that.”
- **Clarify** WHY before offering retention. Open question only: “Before I close it, would you mind sharing what’s driving the decision? Not to push back, but it helps me see if there’s something we can address.” Drivers we listen for: fee frustration, rate dissatisfaction, moved bank relationships, service complaint, life event.
- **Empathize** with the underlying concern when given.
- **Solve** — either retain with a policy-compliant offer or proceed to closure.

Step 2 — Retention Offer (within authority)

Within the banker's BNK-FIN-RULE-001 cap (\$250 per transaction, one courtesy per 180 days per BNK-FIN-RULE-003), the banker may offer:

- Fee waiver of the specific fee that triggered the call
- Plan/account-type change to a no-fee structure (e.g. from a fee-bearing checking to a no-fee equivalent)
- Loyalty credit on the next statement (within cap)
- Rate-match on a CD or money market if the competitor's rate is verifiable from the official rate sheet (NEVER from memory — BNK-REG-RULE-003)

The banker does NOT pressure. After one offer, if the customer still wants to close, proceed cleanly to Step 3.

Step 3 — Close the Account

1. Confirm the destination for any remaining balance: ACH to external account, cashier's check mailed to address on file, or cash if customer is at a branch.
2. Cancel any auto-deposits, auto-pays, or pending transactions tied to the account; warn the customer of any scheduled debits.
3. Close the account in the system. The system will not allow closure if any of the pre-conditions in Section 2 are not met.
4. Confirm the closure date in writing (system-generated statement of closure mailed within 5 business days).

Step 4 — Closing (BNK-CC-RULE-020, -021, -023)

- Explain root cause / what triggered the call if known.
- Resolution summary: Issue (customer wanted to close) + Fix (account closed effective [date], balance disposition) + Follow-Up Actions (final statement in 5 business days, any pending items addressed).
- "Is there anything else I can help you with today?"
- Provide the case reference number.
- **Do NOT offer the post-call survey** on a confirmed cancellation (BNK-CC-RULE-023 exception).

4. Common Failure Modes (QA Watch List)

- Failing to attempt retention discovery before processing closure → SOP-04 procedural gap
- Pressuring the customer past one retention offer → coaching trigger
- Promising a retention credit > \$250 without Manager Approval → BNK-FIN-RULE-001 / -002 violation
- Quoting a competitor-match rate from memory → BNK-REG-RULE-003 violation
- Offering the survey on a confirmed cancellation → BNK-CC-RULE-023 violation
- Closing the account with pending auto-pays still active → operational error

5. Special Cases

5A. Dormant accounts (no activity > 12 months) — closure may trigger escheatment review; route via Operations ticket if state escheatment law applies.

5B. Joint accounts — both signers must consent to close. If only one is on the call, document the request and require written consent from the other before closure.

5C. Business accounts — closure requires authorized control person on the line. Verify control-person status before proceeding.

5D. Closure with negative balance — customer must bring the balance to zero before closure (transfer in, or charge-off if uncollectable). Charge-off is a credit-bureau-reportable event; customer must be advised of this consequence per BNK-CC-RULE-020.

5E. Closure due to bank-initiated decision (e.g. account abuse, fraud) — special procedure, NOT standard retention. Route to Compliance.

6. Escalation

- Retention offer above banker authority → Manager Approval ticket
- Closure blocked by pending Reg E dispute → wait for dispute adjudication or escalate to Consumer Compliance
- Customer demands closure but signs of coercion present → invoke BNK-FRAUD-RULE-007 elder exploitation pause